May/June 2017 Paper 02

This paper consists of FIVE questions. Answer all questions.

Question 1

1(a) Definitions

Define EACH of the following terms: (i) Enterprise; (ii) Entrepreneurship. (4 marks)

(a)(i) Enterprise

An enterprise is any business unit or undertaking that is set up to produce goods or provide services with the aim of making a profit. It can range from a small one-person business such as a roadside vendor up to a large company with branches in many countries.

(a)(ii) Entrepreneurship

Entrepreneurship is the willingness and ability of a person to organise the factors of production, take risks and use new ideas to set up and operate a business in order to earn a profit. The person who carries out this activity is the entrepreneur and is responsible for making the main decisions in the business.

1(b)(i) Economic and social benefits of a business to the community

State TWO economic benefits and TWO social benefits of a business to the community in which it is located. (4 marks)

Economic benefits

- The business creates jobs for members of the community, which gives them income to support their families.
- The business pays taxes to the government, which can be used to provide services such as roads, water and electricity in the community.

Social benefits

- The business may sponsor sports teams, scholarships and community events, which improve the social life of the community.
- The business may donate to charity and help to build community facilities such as parks or community centres, which raise the quality of life of residents.

1(b)(ii) Stakeholders and their roles

Identify TWO stakeholders of a business and explain the role of EACH. (6 marks)

Employees

Employees are the workers who are hired by the business in return for wages and salaries. Their role is to carry out the day-to-day tasks of the business such as producing goods, serving customers and keeping records. Without their effort, the business cannot operate or earn a profit.

Customers

Customers are the people who buy the goods and services produced by the business. Their role is to

provide the income that the business needs to cover its costs and earn a profit, and their feedback also helps the business to improve its products and decide what to produce in the future.

1(c) Challenges in satisfying ethical role

Describe TWO challenges that a business could encounter when trying to satisfy its ethical role in a community. (6 marks)

Higher costs of acting ethically

Treating workers fairly, using safe materials, paying suppliers on time and protecting the environment all cost money. A business that does these things may have higher production costs than rivals who cut corners, which makes it harder to keep prices low and still earn a profit. The business may struggle to balance the wish to act ethically with the pressure to compete on price.

Conflict between different stakeholder groups

Different groups in the community expect different things from the business. Workers may want higher wages, customers may want lower prices, owners may want bigger profits and the wider community may want more donations and a cleaner environment. It is hard for the business to please all of these groups at the same time, and trying to be ethical to one group can upset another.

Question 2

2(a)(i) Activities of managers

State TWO activities performed by EACH of the following managers: Marketing; Production. (4 marks)

Marketing manager

- Carries out market research to find out what customers want and what competitors are offering.
- Plans advertising and sales promotion campaigns to make customers aware of the firm's products and to encourage them to buy.

Production manager

- Plans and supervises the day-to-day production of goods to make sure that the right quantity and quality is produced on time.
- Controls the use of raw materials, machines and labour in the factory to keep production costs as low as possible.

2(a)(ii) Finance vs human resource

Distinguish between the 'finance' and 'human resource' (HR) areas of a business. (4 marks)

Finance

The finance department deals with all the money matters of the business. It is responsible for raising the funds the business needs, keeping the books of account, preparing financial statements, paying suppliers and workers and making sure that the business has enough cash to pay its bills.

Human resource

The human resource department deals with the people who work for the business. It is responsible for

hiring new workers, training and developing them, handling pay and welfare matters, dealing with discipline and grievance issues and making sure that the business has the right number of trained workers in the right jobs.

2(b) Functions of management

Describe EACH of the following functions of management: (i) Delegating; (ii) Motivating; (iii) Coordinating. (2 marks each)

(b)(i) Delegating

Delegating is the function of management in which a manager passes some of his or her tasks and the authority to do them to a subordinate worker. The manager is still responsible for the result, but delegating allows the work to be shared so that more can be done in less time and the workers gain experience.

(b)(ii) Motivating

Motivating is the function of management that involves giving workers reasons to work hard and to do their best. Managers motivate by paying fair wages, praising good work, giving promotions and creating a pleasant working environment, all of which encourage workers to put in extra effort and stay loyal to the firm.

(b)(iii) Coordinating

Coordinating is the function of management that brings together the work of different departments and workers so that they all move towards the same goal. The manager makes sure that production, marketing, finance and human resources work in step with each other so that the business runs smoothly without waste or confusion.

2(c) Management responsibility to groups

Explain ONE way in which management fulfils its responsibility to EACH of the following groups of persons: (i) Customers; (ii) Employees. (3 marks each)

(c)(i) Customers

Management fulfils its responsibility to customers by making sure that the goods and services sold are of good quality, safe to use and fairly priced. The business gives correct information about the product, honours warranties and deals quickly with complaints, so that customers feel that they are being treated fairly and continue to support the business.

(c)(ii) Employees

Management fulfils its responsibility to employees by paying fair wages on time, providing safe and clean working conditions and offering training to help workers improve their skills. The business also treats workers with respect, listens to their concerns and gives them the chance to be promoted, which helps them to feel valued and to do their best work.

Question 3

3(a)(i) Examples of technology used by businesses

List THREE examples of technology used by businesses. (3 marks)

- Computers and laptops with software such as Microsoft Office for record keeping and reports.
- Point-of-sale systems and barcode scanners for ringing up sales and tracking stock.
- The internet, email and video conferencing for communication with customers and suppliers.

3(a)(ii) How technology enables growth

Outline TWO ways in which technology may be used to enable businesses to grow. (4 marks)

Reaching new markets through the internet

By setting up a website and using online platforms such as social media and e-commerce stores, a business can sell its products to customers in other towns, islands and countries. This widens the market and allows the business to grow far beyond what was possible when sales were limited to a single shop.

Improving production and lowering costs

Modern machines, computer-controlled equipment and software can produce goods faster, with fewer mistakes and at lower cost than older methods. The savings can be used to lower prices, attract more customers and reinvest in new products, which helps the business to expand.

3(b)(i) Functions of a small business

List THREE functions of a small business. (3 marks)

- Producing goods and providing services to meet the needs of customers in the local community.
- Creating jobs and earning income for the owner and the workers.
- Paying taxes to the government and contributing to the development of the local economy.

3(b)(ii) Challenges and benefits of growth

State TWO challenges and TWO benefits associated with the growth of a business. (4 marks)

Challenges

- The owner finds it harder to control all the activities personally, so management becomes more difficult.
- The business needs more money to finance the larger operation, which may force it to take on heavy loans.

Benefits

- The business can take advantage of economies of scale, which lower the cost per unit produced.
- The larger business can earn higher profits and is better known and trusted in the market.

3(c) How growth affects organisational structure

Explain TWO ways in which the growth of a business affects its organizational structure. (6 marks)

More levels of management are added
When the business grows, the owner can no longer supervise every worker directly. New levels of management such as supervisors, middle managers and senior managers have to be added between the owner and the ordinary workers. This makes the structure taller and creates a clear chain of command from the top to the bottom.

Specialised departments are created
As the business takes on more work, the same person can no longer handle marketing, production, finance and human resources alone. The business has to set up separate departments for each of these areas, each headed by its own manager. This makes the structure wider and allows each department to focus on what it does best.

Question 4

4(a)(i) Definition of brand name

Define the term 'brand name'. (2 marks)

A brand name is the word, group of words or letters used by a business to identify its product and to set it apart from the products of competitors. Examples include Coca-Cola, Nike and Toyota, and the brand name is usually the part of the brand that customers can speak.

4(a)(ii) Forms of packaging

Identify TWO forms of packaging. (2 marks)

- Bottles and jars made of glass or plastic, used for liquids such as juice and shampoo.
- Cardboard boxes and cartons, used for items such as cereal, milk and electrical appliances.

4(a)(iii) Purposes of packaging

State TWO purposes of packaging. (2 marks)

- To protect the product from damage, dirt and tampering during transport, storage and display.
- To carry information such as the brand name, ingredients, instructions, expiry date and price for the customer.

4(b)(i) Techniques used in selling

Describe TWO techniques used in selling. (4 marks)

Personal selling
Personal selling is the technique in which a salesperson speaks face to face with a customer to explain the features of the product, answer questions and persuade the customer to buy. It works well for items such as cars and insurance, where customers need a lot of information before deciding.

Demonstration selling
Demonstration selling is the technique in which the seller shows the customer how the product works and what benefits it offers. By seeing the product in action, the customer is more likely to be convinced of its

value and to make a purchase. This technique is often used for items such as kitchen appliances and cleaning products.

4(b)(ii) Methods to promote sales

Outline TWO methods which vendors can employ to promote sales. (4 marks)

Offering discounts and special prices

Vendors can lower the price of items for a short time, offer 'buy one get one free' deals or give discounts to customers who buy in large quantities. These price offers attract more customers, encourage them to buy more and help to clear old stock from the shelves.

Advertising and giving free samples

Vendors can put up posters, run radio or social media adverts and hand out free samples or small gifts to customers. These activities make customers aware of the product, allow them to try it before they buy and create excitement around the brand, which leads to more sales.

4(c) Influence of copyright on producers and consumers

Explain TWO ways in which the existence of copyright is likely to influence the actions of producers and consumers. (6 marks)

Encourages producers to invest in new creative work

Copyright gives the producer of a book, song, film or piece of software the legal right to control how it is copied and sold for a number of years. Because no one else can copy the work without permission, the producer is sure of earning the rewards from his or her effort. This encourages writers, artists and software developers to spend the time and money needed to produce new creative works.

Forces consumers to buy genuine copies and respect the law

Because copyright makes it illegal to copy or share protected work without permission, consumers cannot freely make and pass on photocopies, CDs or downloads. They have to buy original copies from the producer or from approved sellers, which can mean paying a higher price but also makes sure that the consumer gets a good-quality product and stays within the law.

Question 5

5(a) Definition of standard of living

Define the term 'standard of living'. (2 marks)

Standard of living refers to the level of wealth, comfort and material goods that an individual or country enjoys. It is usually measured by looking at things like the average income per person, the quality of housing, food and clothing and the access citizens have to services such as health and education.

5(b)(i) Factors that determine quality of life

State THREE factors that can be used to determine quality of life. (3 marks)

- The state of health of citizens and how easily they can get good medical care.

- The level of education and the literacy rate of citizens.
- The level of crime and personal safety in the country.

5(b)(ii) Factors that determine standard of living

State THREE factors that can be used to determine standard of living. (3 marks)

- The level of real per capita income, which shows how much each person earns on average.
- The quality of housing, food and clothing that citizens are able to afford.
- The amount and variety of goods and services that citizens are able to consume.

5(c) Programmes by Ministries of Education

Describe TWO programmes that Ministries of Education could put in place to foster economic growth and development. (6 marks)

Technical and vocational training programmes

The Ministry of Education can set up programmes in technical and vocational schools that train young people in practical skills such as plumbing, electrical work, welding, hospitality and information technology. These trained workers help to fill the skill needs of local industries, raise productivity and reduce the need to bring in workers from abroad, all of which support economic growth.

Scholarship and adult education programmes

The Ministry can offer scholarships and bursaries for needy students to attend secondary school, college and university, and can run adult education classes for people who left school early. By raising the level of education in the population, the country produces more skilled workers and citizens who can take part in development, which leads to higher output and a better quality of life.

5(d) Methods to measure national income

Identify TWO methods that are used to measure a country's national income and explain how EACH method is used. (6 marks)

The income method

Under the income method, national income is measured by adding up all the incomes earned by citizens in the form of wages, salaries, rent, interest and profit during the year. Government statisticians collect this information from tax records, business accounts and household surveys, and the total of these incomes gives the value of national income.

The output method

Under the output method, national income is measured by adding up the money value of all the final goods and services produced by every industry in the country during the year. Care is taken to count only the value added at each stage of production so that the same item is not counted twice, and the final total gives the value of national output, which is equal to national income.